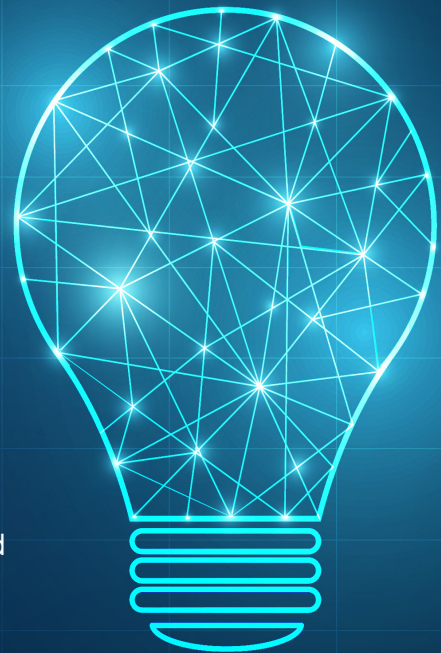


Beyond the 4Ps of Innovation

If you were offered a carbonated drink in a glass, what are the chances that you could easily identify whether it was Coca Cola or Pepsi? Would you even care? Well, hold on to that thought as we talk about several types of innovations first.



People have been talking about the 4Ps of innovation for quite some time. While these lenses have served well in the past, they are becoming outdated now. With the level of chaos that is going on around the world, I would say they are ripe for an update. But before we discuss the update, let us recap what those 4Ps are.

Product or service

The first P in the list of 4Ps is your product or service; the thing that you offer to your customers. So, when someone says innovate your product or service, they want you to create and

introduce a new product or service to your customers. Sometimes, it does not have to be a completely new thing as an improved version of previous products or services qualifies. The caveat is, of course, there must be some enhancement in quality or overall performance. There must be some material change.

This type of innovation is mostly driven by technological advancements, outdated product designs, changes in customer requirements, competition, etc. What is peculiar about this type of innovation is that it is clearly visible to customers. Mostly because they are the direct receivers of it.

Process

The second P in 4Ps is the process. It is all about how you create and deliver your product or service. This may include changes in the equipment and technology used in making the product. In addition, there might be an improvement in tools, techniques, and solutions used to help in making and delivering the product or service. It also includes processes you use to maintain your goods, accounting methods, customer service, etc.

This change may not always be visible to customers, and they may not even realise it sometimes. But from a business's point of view, process innovation often leads to bottom-line impact.